EXECUTIVE SUMMARY

Business Problem

In Q2, marketing spend increased **25%** (20bn → 25bn VND) and loan applications increased **35%** (100K → 135K). Yet total disbursed value **fell 14.8%**, from 2,401bn to 2,045bn VND.
Questions: What is the root cause, and which stage of the funnel should be optimized first?

Insights

Finding 1: Applications rose, while approval rate, disbursement rate and average loan value all fell.

Finding 2: All three declines trace back to a single campaign, TikTok_Personal_Loan, which launched only in Q2.

- It absorbed 42% of the budget (10.5bn) and generated 45% of applications, but produced only 6.7% of disbursed value (138bn).
- Its approval rate was 18%, versus 65.5% for all other campaigns. Excluding TikTok, the Q2 approval rate is higher than in Q1.
- 92% of its applicants earn under 20M per month, and their average credit score is 575 (versus roughly 683 elsewhere). The campaign also produced duplicate and suspicious applications.

Finding 3: Budget was reallocated from high-value campaigns to low-value campaigns.
Budget for the remaining campaigns fell from 20bn to 14.5bn. The existing-customer campaigns (Search_Brand_Loan, FB_Retargeting_Existing, Partner_Existing_CrossSell) lost about 717bn in disbursed value, while the three growing campaigns (TikTok_Personal_Loan, FB_LeadGen_New, Search_Generic_Loan) recovered only about 364bn. This group previously accounted for 81% of disbursed loans and now accounts for 53%.

Finding 4: Alternative hypotheses were ruled out.

- **Credit policy:** policy-rule violations fell from 7.0% to 3.3% of applications, so there is no sign of tightening.
- **Operations:** disbursement processing time was unchanged at 3.0 days in both quarters.

Recommendations

1. Address the TikTok campaign (root cause)

- Pre-screen applicants at the lead form (income, credit score, duplicate check), or reduce spend until lead quality improves.
- Change the ad-optimization objective from clicks or leads to approved applications, by sending conversion data back to the ad platform.
- Add duplicate protection at the form and reconcile traffic quality with the ad platform.

2. Reallocate the budget

- Fix or pause campaigns with low disbursed value per VND spent. TikTok returns only about 13x and Partner_New_Affiliate about 20x, compared with 170x to 177x for the existing-customer campaigns.
- Cap budgets for new campaigns and increase them only after they meet approval-rate and cost-per-disbursement thresholds for 2 to 4 consecutive weeks. TikTok received 42% of the budget in its first quarter with no performance history.
- Evaluate campaigns on cost and value per disbursed loan rather than on application volume.

3. Disbursement
In Q2, 11,566 approved applications were not disbursed (Q1: 7,152). Each 1 pp of disbursement rate is worth roughly 25bn VND in disbursed value.

- Re-contact non-responsive customers within 24 to 48 hours by message or call.
- Review approved limits against requested amounts and test tiered limit offers.
- Test interest-rate incentives for low-risk customers.
- Simplify the e-contract signing step and add automated reminders.

STORYTELLING

Context and Initial Hypothesis

In Q2, the business increased marketing spend by 25% (from 20bn to 25bn VND) and applications grew 35% (from 100K to 135K), yet disbursed value fell almost 15%, from 2,401bn to 2,045bn VND.

Disbursed Value = Applications × Approval Rate × Disbursement Rate × Average Disbursed Value (ADV)

Looking at these four drivers:

- Applications rose 35%, the only driver that increased.
- Approval rate fell the most, from 55.0% to 44.1% (about −20%).
- ADV fell moderately, from 50.2M to 42.6M (−15%).
- Disbursement rate fell slightly, from 87.0% to 80.6% (about −7.4%).

The analysis therefore starts with approval rate, then addresses disbursement rate and ADV in turn.

Decomposing Disbursed Value

The waterfall chart shows applications contributing positively (+666bn), while the other three drivers are all negative: approval rate −490bn (the largest), ADV −362bn and disbursement rate −170bn. The conversion funnel confirms this: applications rose 35%, but approved applications rose only 8%, and disbursed loans were essentially flat (about 47.8K versus 48.0K). The additional applications barely made it through the funnel.

Top-of-Funnel Check

Customer acquisition shows no sign of deterioration. Cost per lead was flat (145K to 143K VND), lead-to-application conversion edged up (72.7% to 77.1%), and cost per application fell 7%. Costs worsen only from the approval stage onward: cost per approved application rose from 364K to 420K, and cost per disbursed loan rose from 418K to 521K VND (+25%).

There is one anomaly: clicks rose 87% but leads rose only 27%, pulling the click-to-lead rate down from 40.4% to 27.4%. The additional traffic that was purchased was of lower quality.

Shift in Customer Mix

- Customers earning under 20M rose from 35% to 63% of applications.
- Customers aged 20 to 25 rose from 17% to 31%.
- The average credit score fell from 685 to 634.
- The two lowest risk bands (D and E) rose from 10% to 35%.

These segments all have a lower likelihood of approval (under-10M earners were approved only about 30% of the time in Q1, and the age-by-income matrix shows young, low-income customers lower still).

Decomposing the 10.9 pp fall in approval rate by income group: about 7.3 pp comes from the change in customer mix, and about 3.6 pp comes from lower approval rates within groups (under 10M: 30% to 24%; 10 to 20M: 43% to 38%).

The customer base is shifting toward younger, lower-income and higher-risk applicants, and this is the main reason approval rate fell. The remaining question is whether the decline within each group reflects tighter policy or lower application quality.

Ruling Out a Policy Change

The rejection-reason chart does not support a tightening-policy hypothesis. Policy-rule violations fell from 7.0% to 3.3% of applications, and recent overdue payments also declined. The increases came from:

- Low credit score (8.3% to 15.8%),
- Unverified income (7.0% to 11.3%), and
- A completely new reason: duplicate or suspicious applications (5.6%, absent in Q1).

These point to a change in application quality, not in approval thresholds.

Tracing the Root Cause: TikTok and Budget Allocation

Segmenting by campaign, the picture converges on one point. New customers rose from 40% to 70% of applications, and the entire increase comes from TikTok_Personal_Loan, a campaign that appeared only in Q2.

- TikTok accounted for 45% of Q2 applications but only 18% were approved, versus 65.5% for the remaining campaigns.
- 92% of TikTok applicants earn under 20M, their average credit score is 575, 64% fall in risk bands D to E, and its click-to-lead rate is only 19%.
- Excluding TikTok, the Q2 approval rate (65.5%) is higher than Q1 (55.0%), and every income group and risk band improves. The 10.9 pp decline is therefore almost entirely attributable to TikTok, including the within-group decline.

On budget, TikTok received 10.5bn of the 25bn (42% of Q2 spend) but generated only 138bn in disbursed value (6.7%). Meanwhile, budget for the other campaigns fell from 20bn to 14.5bn: brand search from 7.0bn to 4.2bn, and retargeting from 4.0bn to 3.2bn. These two campaigns lost about 717bn in disbursed value, while the three growing campaigns (TikTok, FB_LeadGen_New, Search_Generic_Loan) recovered only about 364bn because their loans are smaller.

Budget moved from high-value to low-value campaigns.

Disbursement Rate: Why Approved Customers Do Not Take the Money

The disbursement rate fell from 87.0% to 80.6% and contributed −170bn. This is the smallest drag, but these are applications the bank has already approved, so it still needs explanation: approved-but-undisbursed applications increased from 7,152 to 11,566.

- **Reasons are mainly customer-side:** no response (about 31%), offer declined because the limit was too low (about 27%), and offer declined because of the interest rate (about 18%). The reason mix was nearly unchanged between quarters and processing time stayed at 3.0 days, so the bank did not become slower or change its process.
- **Customers who declined over a low limit:** the approved limit was consistently about 73% to 77% of the requested amount, across all income groups and both quarters. This is below the overall level (about 85%) but did not change between Q1 and Q2. Limits fell because the requested amounts fell: under-10M customers requested 39M → 30M (−23%) and were approved for 30M → 22M (−27%); 10-to-20M customers requested 49M → 36M (−27%) and were approved for 36M → 27M (−25%). The bank did not become stricter. Newer, lower-income customers asked for less, so approved limits were lower accordingly.
- **Existing customers** held a 90% disbursement rate in both quarters, while TikTok reached only 70%.
- **Approved versus requested amount:** the bank approves about 15% less than customers request, but this is an existing feature from Q1 and is similar across campaigns, so it does not explain the Q2 decline in disbursement rate.
- **Data limitation:** there is no interest-rate data, so the "offer declined because of interest rate" reason can only be reported as a share and not analyzed further.

ADV: How Did the Customer Profile Change to Produce Smaller Loans?

- **Mix, not within-campaign change.** ADV fell from 50.2M to 42.6M (−15%), but within each campaign it was flat or slightly higher (existing customers 56M to 58M; new customers 25M to 32M). The mix effect is about −9.8M, and the within-campaign effect is about +2.3M. TikTok accounts for more than half of the mix effect because its loans average only about 18M. The three high-value campaigns (Search_Brand_Loan, FB_Retargeting_Existing, Partner_Existing_CrossSell) previously made up 81% of disbursed loans and now make up 53%.
- **Age × income.** The age-by-income matrix shows ADV declines concentrated among young and lower-income customers: ages 20 to 25 fell 13.4% (income under 10M) and 11.3% (10 to 20M), and ages 26 to 35 fell 15.1% and 13.1% in the same income bands. By contrast, customers earning 20M or more and those aged 46 and above were roughly flat (around 0%). These are also the segments whose share rose most (income under 20M: 35% to 63%; ages 20 to 25: 17% to 31%). ADV therefore fell mainly because the customer profile shifted toward groups that borrow less.
- **The bank did not approve less.** Approved limits were about 77% to 88% of the requested amount in every campaign (about 85% overall), and most campaigns were flat or slightly higher than in Q1. TikTok reached 82% in Q2, within the range of the other campaigns, so its applicants were not approved for less. ADV fell because new customers requested smaller loans (Q2 loan demand was about 26% lower), not because the bank tightened limits.

Causal chain: younger, lower-income profile → smaller loan requests → proportionally lower approved limits → lower disbursed value.

Conclusion

The problem lies not in the efficiency of acquiring applications, the underwriting process or operations, but in **how the budget was reallocated**. Nearly half of the Q2 budget moved to a single campaign that generates many applications of low quality, while high-value campaigns were cut. That campaign pulled the customer base toward younger, lower-income and higher-risk applicants, which explains the fall in approval rate (the largest effect) and in ADV (customers requesting less), and it contributed to the fall in disbursement rate (TikTok disburses only 70%).

Priority actions: evaluate campaigns on cost and value per disbursed loan rather than application volume; add screening at the data-collection step for TikTok (income, credit score, duplicates); and consider restoring budget to the high-value

FINTECH

Dashboard | Analysis

Hien (Hazel) Doan

Q2/2025 Performance Overview

Volume-Driven Demand vs. Conversion & Ticket-Size Contraction

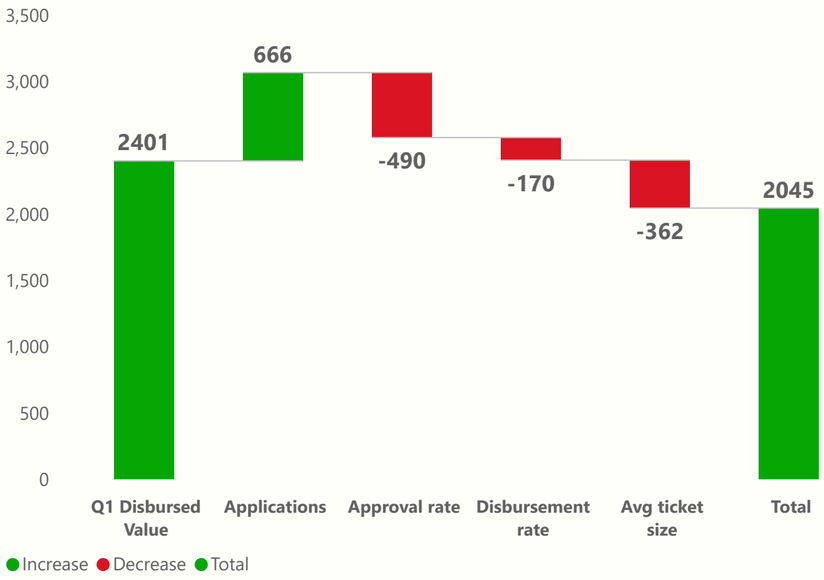
Period | Advanced Filters

Total Disbursement Value	Total Applications	Approval Rate	Disbursement Rate	ADV
2.045T	135K	44%	81%	42.64M
▼-14.8% vs Q1	▲35.0% vs Q1	▼-10.9% vs Q1	▼-7.4% vs Q1	▼-15.0% vs Q1

Performance Overview

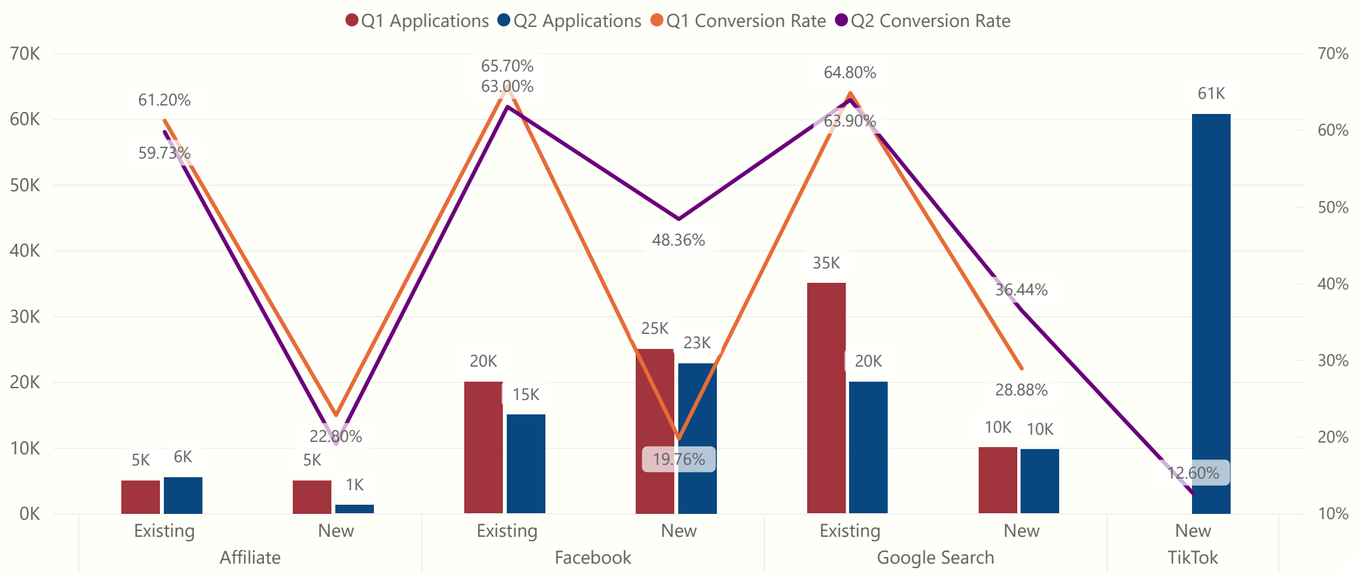
Waterfall: Disbursement Value Drivers

Driver Value by Step

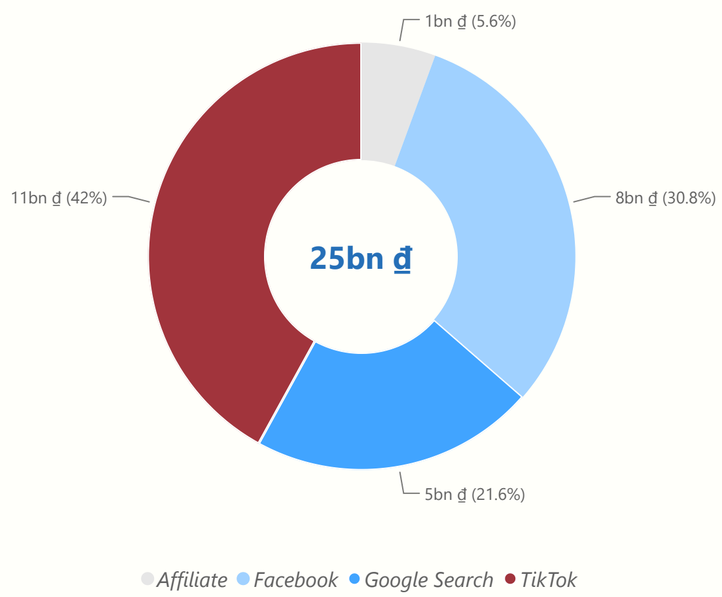


Number of Applications & Conversion Rate

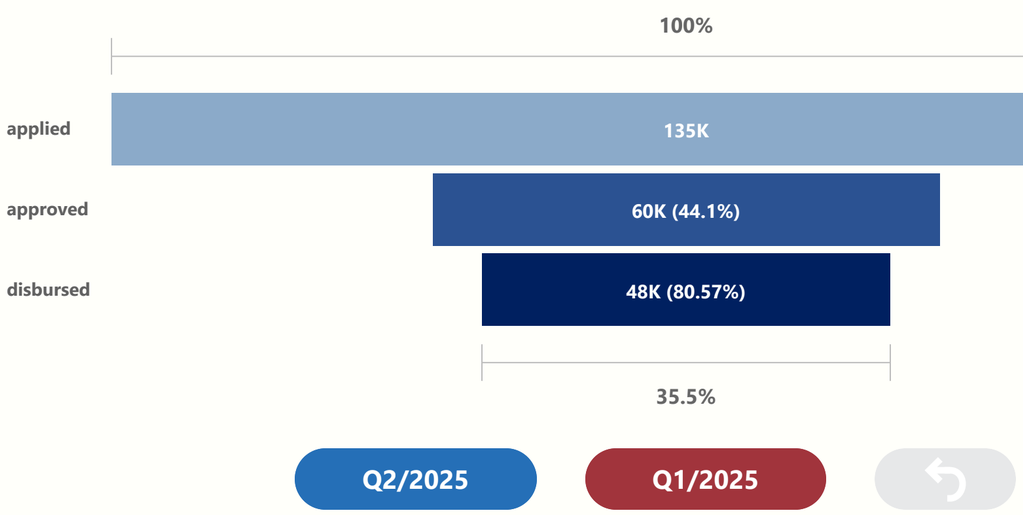
by Channel



Marketing Spend by Channel



Funnel Overview



Q2/2025 | Q1/2025

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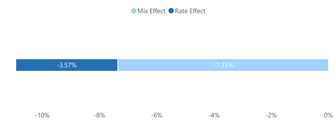
Dashboard | Analysis | Hien (Hazel) Doan

Q2/2025 Performance Analysis

Volume-Driven Demand vs. Conversion & Ticket-Size Contraction

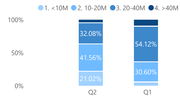
Approval Rate Fell 10.9%: Customer Mix or Credit Policy?

Mix Effect and Rate Effect



Customer Mix

by Income



Approval Rate Change Matrix by Age and Income

Age Band	1. <10M	2. 10-20M	3. 20-40M	4. >40M	Total
20-25	-6.52%	-2.39%	5.34%	5.13%	**-6.71%**
26-35	-6.88%	-5.44%	-0.28%	2.61%	**-11.13%**
36-45	1.73%	1.40%	1.28%	-0.16%	**-1.28%**
46+	28.43%	9.39%	-0.13%	0.74%	**2.10%**
Total	**-6.17%**	**-5.84%**	**0.23%**	**1.48%**	**-10.90%**

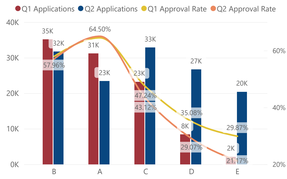
Approval Rate

by Channel and Customer Segment



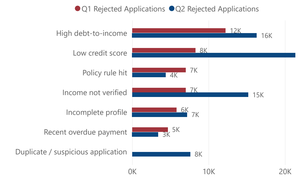
Approval Rate

by Credit Score



Rejected Reasons

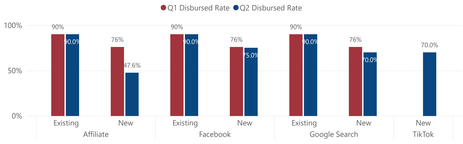
by Quarter



6.4% Drop in Disbursement Rate: Pinpointing Funnel Leakage

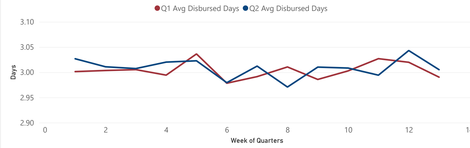
Disbursement Rate

by Channel and Customer Segment



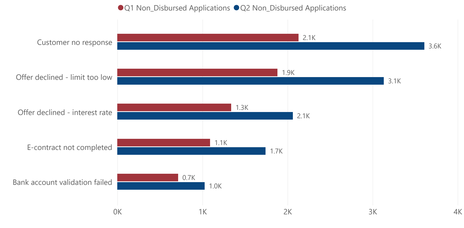
Average Processing Time

by Days



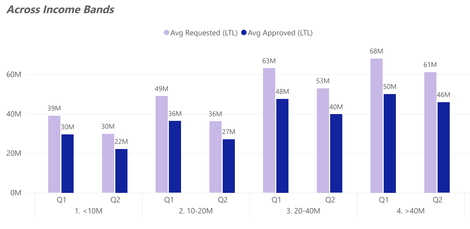
Non Disbursement Reasons

by Quarter



Stricter Bank or Smaller Asks? Requested vs. Approved Limit

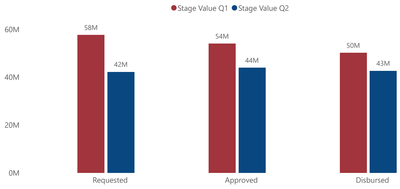
Across Income Bands



Average Ticket Size Dropped by 15%

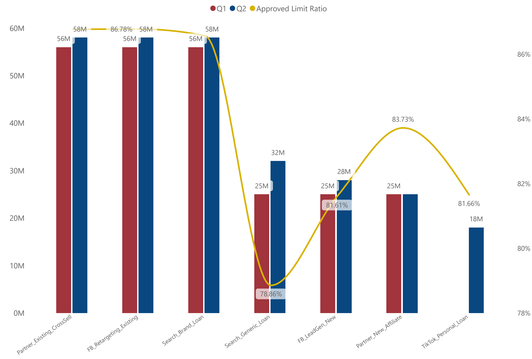
Average Ticket Size Trajectory

Requested vs. Approved vs. Disbursed



Average Ticket Size Trajectory and Approved Limit

Requested vs. Approved vs. Disbursed



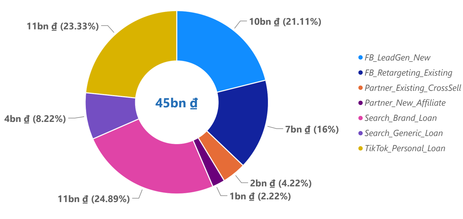
Approval Rate Change Matrix

by Age Band and Income Band

Age Band	1. <10M	2. 10-20M	3. 20-40M	4. >40M	Total
20-25	-13.39%	-11.28%	-7.11%	-1.20%	**-15.41%**
26-35	-15.10%	-13.08%	-1.92%	-0.01%	**-8.31%**
36-45	-8.74%	-5.41%	0.10%	0.95%	**-1.64%**
46+	2.58%	-0.56%	0.35%	1.58%	**-0.07%**
Total	**-14.61%**	**-12.53%**	**-1.74%**	**0.42%**	**-7.53%**

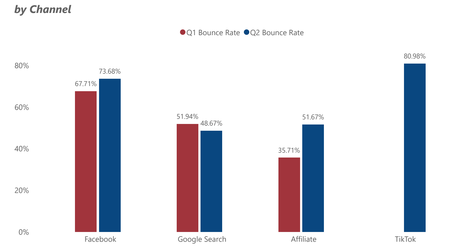
Ads vs. Landing

Marketing Spend by Campaign

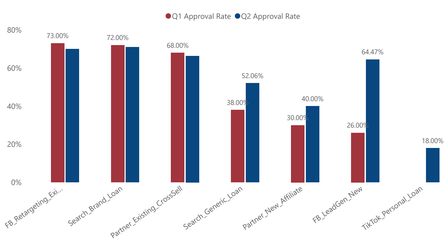


Click-to-Lead Rate

by Channel



Approval Rate by Campaign



Click-to-Lead Rate by Campaign

